

*Answer:*

I need not point out to your Committee the necessity of differentiating between the Stock Exchange as such and those who use the Stock Exchange.

Most of the complaints against the Stock Exchange arise from the action of those outside of its organization and over whose conduct it has no control. At times, no doubt, there have been shortcomings and laxity of methods in the administration of the Stock Exchange just as there have been in every other institution administered by human hands and brains. Some things were, if not approved, at least tolerated in the past which are not in accord with the ethical conception of to-day.

The same thing can be said of almost every other institution, even of Congress. Until a few years ago, for instance, the acceptance of campaign contributions from corporations, the acceptance of railroad passes by Congressmen and Senators were regular practices which did not shock the conscience either of the recipients or of the public. Now they are no longer tolerated by public opinion, and have rightly been made illegal.

---

*Most of the complaints against the Stock Exchange arise from the action of those outside of its organization and over whose conduct it has no control.*

---

Ethical conceptions change; the limits of what is morally permissible are drawn tighter. That is the normal process by which civilization moves forward.

The Stock Exchange never has sought to resist the coming of that more exacting standard. On the contrary, in its own sphere it has ever aimed to advance the standard, and it has shown itself ready and willing to introduce better methods whenever experience showed them to be wise or suggestion showed them to be called for.